

THE

RBI Rate-Hike Money Playbook

India 2026-27 Edition

What the 7 October repo-rate hike means for your home, car and personal loan EMIs — the prepayment maths that saves lakhs, how to lock the best fixed deposits, and a 30-day plan to protect your money through India's new tightening cycle.

25 bps

REPO HIKE

From 5.25% to 5.50% on 7 Oct 2026

5.50%

NEW REPO RATE

First hike in over three years

Rs. 795

EMI JUMP

On a Rs. 50 lakh, 20-yr home loan

Rs. 1.9 lakh

EXTRA INTEREST

Over the life of that same loan

Verified from the Reserve Bank of India, PFRDA, the Income Tax Department and official lender rate cards. Current as of 9 October 2026.

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How to use this playbook

This is a money playbook, not a textbook. It is built for one moment: the week the RBI raised the repo rate after three years of cuts, and crores of Indian households asked the same question — *what do I do with my loans and my savings now?*

Read it in order the first time. Chapter 1 tells you exactly what happened and why. Chapters 2 and 3 explain where the pain and the opportunity land. Chapters 4 to 9 walk through your money, product by product. Chapter 10 gives you the borrower rights most people never use, and Chapter 11 is a 30-day action plan you can start this week.

Every number here is traceable. Rates, rules and dates come from the Reserve Bank of India's 7 October 2026 policy statement, the PFRDA, the Income Tax Department and official lender rate cards — the full source list is at the back. Where a figure is a bank's advertised rate or an economist's forecast rather than a guaranteed number, it is labelled as such.

The one-line summary

If you borrow on a floating rate, your EMI is about to rise — plan for it. If you save, the best deposit rates of this cycle are still ahead of you. The borrowers who act in the next 30 days will save the most.

This document is for general information only. It is not investment, tax or legal advice, and it cannot account for your full financial situation. For decisions with large sums at stake, speak to a SEBI-registered investment adviser, a qualified chartered accountant, or your lender. Loan numbers are illustrative and depend on your own rate, balance, remaining tenure and the lender's reset terms.

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What you will be able to do after reading

1. Say exactly how much your EMI will rise, and by when. 2. Decide between a higher EMI and a longer tenure — with the maths. 3. Use the RBI's no-prepayment-charge rule to cut your loan for free. 4. Ladder your fixed deposits so every maturity renews at a higher rate. 5. Move your emergency money out of long-duration debt before it hurts.

CHAPTER 1

What the RBI just did — and why it reaches your wallet

On 7 October 2026, India's central bank raised its benchmark interest rate for the first time in more than three years. Everything in this playbook flows from that one decision.

The Monetary Policy Committee (MPC) of the Reserve Bank of India met from 5 to 7 October 2026 and voted unanimously to raise the policy repo rate by 25 basis points — from 5.25% to 5.50%. It also changed its policy stance from **neutral** to **calibrated tightening**. The last time the RBI raised rates was in February 2023, so for most borrowers this is the first hike they have ever had to plan around.

The repo rate is the rate at which the RBI lends short-term money to banks. When it goes up, the cost of money across the banking system goes up with it — and that cost is passed to borrowers as higher loan rates and to savers as higher deposit rates. That is the whole chain, and it is why a decision taken in a Mumbai committee room shows up in your home-loan EMI.

The numbers, exactly as announced

Repo rate: **5.50%** (up 25 bps from 5.25%). Standing Deposit Facility (SDF): **5.25%**. Marginal Standing Facility (MSF) and Bank Rate: **5.75%**. Vote: unanimous. Stance: calibrated tightening. Source: RBI Monetary Policy Statement, 7 October 2026.

Why now? Inflation. Consumer price inflation rose to 4.82% in August 2026 from 4.45% in July, pushed by food and fuel costs and the re-escalation of the West Asia conflict, which lifted crude oil prices. Core inflation edged up to about 4.2%. The RBI raised its own FY27 inflation forecast to 5.2% and its GDP growth forecast to 7.1%, and made one thing unmistakable: **rate cuts are off the table in the near term**. From here, the only options are a hike or a pause.

What did not change is just as important. India's growth is strong, so this is a controlled, deliberate tightening rather than a panic move. That matters for how you should plan: not as a one-off jolt, but as the start of a cycle that could run for a year.

The repo rate, over the last four years

Effective date	Repo rate	Change
7 Oct 2026	5.50%	+0.25% (this hike)
5 Aug 2026	5.25%	No change
5 Jun 2026	5.25%	No change
6 Feb 2026	5.25%	No change
5 Dec 2025	5.25%	Cut 0.25%
6 Aug 2025	5.50%	No change
6 Jun 2025	5.50%	Cut 0.50%
9 Apr 2025	6.00%	Cut 0.25%
7 Feb 2025	6.25%	Cut 0.25%
8 Feb 2023	6.50%	Hike 0.25%

Between early 2025 and December 2025 the RBI cut the repo rate by a total of 125 basis points, from 6.50% down to 5.25%. That cut cycle is now over. Borrowers who enjoyed falling EMIs for two years are the ones most exposed to this turn.

What this means in one paragraph

If you have any floating-rate loan — a home loan, a car loan, a personal loan, an education loan — your interest rate will rise, and your EMI or your tenure will change. If you hold fixed deposits, the rates on new deposits will rise over the coming weeks and months. If you hold debt mutual funds, rising rates are a headwind. And if you do nothing, the lender decides for you — and lenders almost always extend the tenure, which quietly costs you the most. This playbook exists so that you decide instead.

CHAPTER 2

What comes next: the rate path to plan for

The RBI has signalled the direction. Banks, brokerages and economists have priced in how far it might go. Here is what to assume — and what not to bet on.

The single most useful line from the Governor's statement is that rate cuts are off the table in the near term, and policy action ahead can only be a hike or a pause. That removes the most common borrower mistake: waiting for rates to fall back before acting. They are not falling back this year.

Forecasts vary, so treat the table below as a range, not a promise. Every one of these is a house view published after the 7 October decision, and all of them point the same way — another 50 to 100 basis points of tightening, with a terminal repo rate around 6.00% to 6.25%.

Source	Expected path	Terminal repo
Goldman Sachs	+25 bps in Dec 2026, +50 bps in H1 2027	6.25%

Source	Expected path	Terminal repo
Morgan Stanley	Four consecutive 25 bps hikes	6.25% by Apr 2027
Bank of America	50 bps in Q4 2026, 50 bps in H1 2027	6.25%
Standard Chartered	+25 bps each in Dec, Feb, Apr	6.25% by end-Apr 2027
Motilal Oswal	100 bps total tightening	6.25%
SBI Research	Possible 50 bps; inflation to peak ~6.8% in Nov 2026	~6.00% by Dec 2026
HDFC Bank economists	Another 50–75 bps over coming meetings	6.00–6.25%
ICRA	+25 bps in Dec 2026, then a pause	5.75%

These are forecasts, not RBI guidance, and the RBI has been explicit that the duration and extent of the cycle depend on inflation and growth data. But the planning conclusion is the same in every case: **budget for another 50 to 75 basis points of rate rises over the next twelve months, and be pleasantly surprised if there are fewer.**

How to plan for a rising-rate year

- Do not delay a decision because you expect cuts. The RBI has said cuts are not coming soon.
- Stress-test your own budget at +0.75% on every floating loan you hold. If the EMI still fits, you are prepared.
- If it does not fit, act now — prepay, refinance, or extend the tenure deliberately rather than by default.
- Lock fixed-deposit money in a ladder, not all at once, so you keep catching the higher rates as they arrive.
- Keep new borrowing light this year. A car or personal loan taken at today's rate will get more expensive.

A word on 'calibrated tightening'

The phrase matters. It tells you the RBI intends to move in measured steps and will watch the data — not slam the brakes. For you that means rate rises will arrive gradually, in 25-basis-point steps at successive meetings, not in one shock. Gradual is good news: it gives you time to act between moves.

CHAPTER 3

How a rate hike travels through your money

Not every loan reacts the same way, or at the same speed. Knowing your loan's benchmark tells you exactly when and how much you will feel it.

A repo hike does not automatically add 25 basis points to every loan. It travels through the benchmark your loan is priced against. There are three main paths, and they behave very differently.

Benchmark	Who is on it	Speed of impact	Size of impact
External Benchmark (EBLR / RLLR / repo-linked)	Most home loans, car loans, personal loans, MSME loans	Fastest — often within one to two billing cycles	Full 25 bps, effectively automatic
MCLR (Marginal Cost of Funds)	Some older loans, many corporate and business loans	Slower — at the next reset date	Usually less than 25 bps
Base Rate / BPLR	Older loans only	Slowest, at reset	Small, often delayed
Fixed rate	Fixed-rate home, car and personal loans	None until the fixed period ends	Zero during the fixed term

Two rules decide when the change reaches an existing borrower. Under the RBI's rules, a loan linked to an external benchmark must have its rate reset **at least once every three months**. A loan linked to MCLR resets at a periodicity of **one year or lower**, set in the loan contract. So even if your bank has not yet written to you, the change is on its way — check your reset date.

Your three-minute diagnosis

Open your loan statement or app and find one word: the benchmark. If it says EBLR, repo-linked, or RLLR, you are in the fast lane — expect the full 25 bps soon. If it says MCLR or Base Rate, you have a little more time. If it says fixed, you are protected until the fixed period ends. Then note your **next reset date**. That is the date your EMI changes.

Who feels it first, and who feels it most

- **Home-loan borrowers feel it most in rupee terms**, because the loan is the largest. A 25 bps rise on a Rs. 1 crore, 20-year loan adds about Rs. 1,600 a month.
- **Car-loan borrowers feel it soonest**, because most auto loans are EBLR-linked and short.
- **Personal-loan borrowers feel it sharply**, because personal-loan rates are already the highest of the retail loans.
- **MSME and business-loan borrowers are on the external benchmark too**, with a higher spread for risk — so a small business's cost of working capital rises with the same 25 bps.
- **Credit-card users are the exception**. Card interest is set by the issuer, not the repo. But it is already the most expensive money you can borrow — more on that in Chapter 6.

And on the other side of the ledger: **depositors feel the benefit last and most slowly**. Banks raise deposit rates in their own time and their own size, and only new deposits and renewals earn the higher rate. Existing fixed deposits keep the rate they were booked at. That is why Chapter 7 is about timing your deposits, not just picking a rate.

CHAPTER 4

Your home loan: the biggest bill on the table

A 25-basis-point rise sounds small. On a home loan it is the largest single change in your monthly budget — and the decisions you make now decide whether it costs you a few thousand rupees or a few lakh.

Home loans are where this hike does the most damage, for a simple reason: they are the biggest loans most families ever take, and most of them are floating-rate and repo-linked. When the repo rate moves, the home loan moves with it.

What 25 basis points actually does to your EMI

The table below shows a home loan with 20 years remaining, when the rate rises from 7.75% to 8.00% — a clean 25-basis-point step. Read it as the shape of the problem: the bigger the loan, the bigger the monthly hit, and the hit compounds over the years.

Outstanding loan	EMI at 7.75%	EMI at 8.00%	Monthly increase
Rs. 25 lakh	Rs. 20,524	Rs. 20,911	Rs. 387
Rs. 50 lakh	Rs. 41,047	Rs. 41,822	Rs. 775
Rs. 75 lakh	Rs. 61,571	Rs. 62,733	Rs. 1,162
Rs. 1 crore	Rs. 82,095	Rs. 83,644	Rs. 1,549
Rs. 1.5 crore	Rs. 1,23,142	Rs. 1,25,466	Rs. 2,324
Rs. 2 crore	Rs. 1,64,190	Rs. 1,67,288	Rs. 3,098

A monthly increase of Rs. 775 on a Rs. 50 lakh loan looks survivable. The trap is not the monthly figure — it is what happens over twenty years.

The trap: EMI up, or tenure longer?

When the rate rises, the lender has two ways to absorb it. It can raise your EMI and keep the tenure, or it can keep your EMI and stretch the tenure. Under RBI rules, you should be given the choice — but if you say nothing, many lenders quietly extend the tenure. That feels painless and costs the most, because you keep paying interest for longer.

Here is the same Rs. 50 lakh loan, 20 years, when the rate rises from 8.50% to 8.75%:

Scenario	Monthly EMI	Total interest	Extra cost
Before the hike (8.50%)	Rs. 43,391	Rs. 5,413,879	—
EMI raised, tenure kept (8.75%)	Rs. 44,186	Rs. 5,604,529	Rs. 190,650
EMI kept, tenure stretched (8.75%)	Rs. 43,391	Rs. 5,953,453	Rs. 539,574

Keeping the EMI unchanged at Rs. 43,391 stretches the loan from 240 months to about 253 months — roughly 13 extra EMIs. Over the life of the loan you pay about Rs. 539,574 more in

interest than if you had absorbed the rise in your EMI. That is the price of a decision you did not make.

The rule to remember

If you can afford the higher EMI, take it. Raising the EMI clears the loan faster and saves interest. Extending the tenure protects this month's cash flow but costs you more in total. Never let a lender extend your tenure without telling you — that is your right under the RBI's fair-practices rules.

The move that saves the most: prepay, for free

Since 1 January 2026, the RBI's Pre-payment Charges on Loans Directions ban banks and NBFCs from charging any prepayment or foreclosure fee on floating-rate loans to individuals — whatever the amount, whatever the source of the money, with no lock-in. For a floating-rate home loan, that means you can pay it down early, in part or in full, at zero cost. It is the single most powerful tool available to you, and most borrowers never use it.

You do not need to prepay a fortune. Small, regular prepayments have an outsized effect because every rupee goes straight to the principal. Here is what a single Rs. 1,00,000 lump-sum prepayment does to that Rs. 50 lakh loan at 8.75%:

Approach	Months to clear	Total interest
No prepayment	241	Rs. 5,604,529
One Rs. 1,00,000 prepayment in month 12	229	Rs. 5,196,568

A single Rs. 1,00,000 payment, made once, cuts the loan by about 12 months and saves roughly Rs. 407,961 in interest — far more than the Rs. 1,00,000 itself. Repeat a prepayment every year and the effect compounds.

Your home-loan action checklist

- 1 Find your reset date.** Note when the rate will actually change on your loan.
- 2 Call your lender and choose.** Tell them whether you want the EMI raised or the tenure extended. Ask for it in writing.
- 3 Prepay a little, often.** Even one extra EMI a year cuts years off the loan. There is no charge on a floating-rate home loan.
- 4 Check your rate against the market.** If you are paying far above today's best rates, ask about a refinance or a switch.
- 5 Refinance if the gap is big.** Moving a loan to a cheaper lender can cut your rate — and the no-prepayment-charge rule makes switching easier.
- 6 Do not switch to a fixed rate in panic.** Fixed rates in a rising cycle are priced high. Compare the fixed offer against the stress-tested floating cost first.

Should you switch to a fixed rate?

Only if the fixed rate on offer is close to your floating rate and you value certainty more than savings. In a tightening cycle, banks price fixed rates defensively — often well above floating. Run both numbers: a fixed rate that is 1% higher can cost more than the remaining hikes would. Fixed is a comfort choice, not usually a saving one.

Should you refinance? The break-even

If your current rate is well above what a good lender offers today, refinancing — moving the loan — can cut your EMI. It costs money to switch (processing, legal, sometimes a fee), so the question is how quickly you recover that cost. Here is a Rs. 50 lakh loan with 18 years left, moving from 9.00% to 8.25%:

Item	At 9.00%	After refinancing at 8.25%
Monthly EMI	Rs. 46,822	Rs. 44,507
Monthly saving	—	Rs. 2,315
Total interest over the term	Rs. 51.1 lakh	Rs. 46.1 lakh

With switching costs of about Rs. 15,000, the break-even is roughly six to seven months. After that, every rupee saved is pure gain — about Rs. 5 lakh over the life of the loan. The rule: refinance only if the rate gap is meaningful (broadly, 0.50% or more) and you plan to stay in the loan long enough to clear the switching cost. And remember the no-prepayment-charge rule — moving a floating-rate loan is easier than it used to be.

CHAPTER 5**Car, personal and education loans**

These loans are smaller than a home loan but more sensitive to rate changes, because most are benchmarked to the external rate and priced higher to begin with.

Car loans

Most car loans in India are linked to an external benchmark — often the repo rate itself. That means a repo hike reaches them quickly, usually at the next reset. If your car loan was at 8.50% and rises to 8.75%, your EMI rises by roughly Rs. 125 for every Rs. 5 lakh borrowed over a 5-year tenure. For a Rs. 10 lakh loan that is around Rs. 250 a month, or about Rs. 15,000 extra over the term.

- Check whether your car loan is fixed or floating. A fixed-rate car loan is not affected during the fixed period.
- If you are planning to buy a car this festive season, get the loan sanctioned before your lender resets its benchmark — a rate locked today is cheaper than one priced after the hike.
- A larger down payment shrinks the loan and the rate exposure together. It is the simplest protection.

- Prepaying a floating-rate car loan is also free of charges under the same RBI rule.

Personal loans

Personal loans are the most expensive mainstream retail loan — often 12% to 20% or more — and many are floating and external-benchmark linked. A rate rise here bites harder because the base is already high. If your personal loan is at 14% and rises to 14.25%, on a Rs. 5 lakh, 3-year loan the EMI moves up by roughly Rs. 60 a month, but the interest cost over the term rises more than the monthly number suggests.

The bigger point about personal loans is not the 25 basis points. It is that they are expensive money taken for consumption. In a rising-rate year, the best personal-loan strategy is to borrow less, repay faster, and clear high-cost balances before they compound.

Education loans

Education loans are often the most rate-sensitive of all, because many are priced on MCLR or the repo with a spread, and the balances are large and long. Students and parents should check the benchmark and the reset date now, and ask the bank about moratorium interest — the interest that accrues during study can grow quietly when rates rise.

A priority order for anyone holding several loans

Attack the most expensive debt first. In most Indian households that order is: credit card balances, then personal loans, then car loans, then the home loan. The home loan is usually the cheapest and most tax-favoured, so it is last — not because it is small, but because it is the least costly to carry.

CHAPTER 6

Three households, worked end to end

Theory is easy. Money is hard. Here are three Indian households — a young couple with a home loan, a 24-year-old with a car and personal loan, and a retired couple living on deposits — and exactly what each should do this month.

Numbers in this chapter are illustrative, computed for the stated rates and tenures, and rounded to the nearest rupee or hundred. Your own figures will differ with your rate, balance and reset terms — the point is the method, which you can copy.

Household A: Rohan and Priya, Pune — a Rs. 60 lakh home loan

Rohan and Priya bought a flat on a Rs. 60 lakh floating home loan, 20 years remaining, at 8.50%. The repo hike resets their rate to 8.75% at their next reset date. Their EMI moves from about Rs. 52,069 to Rs. 53,023 — roughly Rs. 954 more a month. Over the full 20 years, the extra interest is about Rs. 2.29 lakh.

- **Their choice at reset:** accept the higher EMI of about Rs. 53,023, or keep the EMI and let the tenure stretch (which adds interest). Because they can afford it, they take the higher EMI.
- **Their prepayment:** they set up a Rs. 5,000 monthly prepayment. On a 20-year loan, small monthly prepayments compound into lakhs of interest saved — and there is no charge on a floating-rate home loan.

- **Their check:** they confirm their rate against today's best offers (several public banks are near 7.00–7.25% for large loans). If the gap is wide, they will ask about a refinance.

Household A's one-month outcome

EMI planned for at Rs. 53,023, a Rs. 5,000/month prepayment started, and a refinance check booked. Total time: about two hours. Likely saving over the loan: several lakh.

Household B: Aarav, 24, Bengaluru — a car loan and a personal loan

Aarav bought a car on a Rs. 8 lakh loan, 5 years, at 9.00%, and took a Rs. 3 lakh personal loan, 3 years, at 14%. Both are floating and repo-linked. When the benchmark resets: his car EMI rises from about Rs. 16,607 to Rs. 16,704 (about Rs. 97 a month), and his personal-loan EMI from about Rs. 10,253 to Rs. 10,290 (about Rs. 37 a month). The monthly numbers look tiny — but the personal loan is the one to attack.

- **His priority:** the personal loan, at 14%, is far more expensive than the car loan at 9%. He pays it down first.
- **His car loan:** small prepayments are free on a floating-rate car loan. Even one extra EMI a year cuts the term.
- **His rule for the year:** no new borrowing unless essential. A new loan taken now is priced higher than one taken a year ago.

Household B's one-month outcome

Personal-loan balance reduced, car-loan prepayment scheduled, and no fresh borrowing. He avoids the classic trap of a small EMI rise quietly becoming a long-term habit.

Household C: Mr. and Mrs. Nair, Kochi — retired, living on deposits

The Nairs keep Rs. 25 lakh in fixed deposits and depend on the interest. The hike is good news for them, but only if they catch it. If their deposits are all locked for five years at an old, lower rate, the rise passes them by entirely.

- **They ladder:** they split Rs. 25 lakh into deposits maturing at six months, one year, two years and three years, so part of the money is always renewing into a higher rate.
- **They stay insured:** they keep no more than Rs. 5 lakh with any single bank, so every rupee is covered by DICGC deposit insurance.
- **They file Form 15H:** as seniors whose income is below the taxable limit, they file Form 15H so no TDS is deducted on their interest.
- **They compare:** they check the government's Senior Citizen Savings Scheme at 8.2% against bank FDs — it is government-backed, so no credit risk.

Household C's one-month outcome

A four-rung FD ladder built, exposure kept within insurance limits, and Form 15H filed. Their money now renews into higher rates automatically for the next year.

The pattern across all three

Notice what each household did not do: none of them waited for rates to fall, none took on new debt, and none let the lender decide for them. The borrower who acts — prepays a little, chooses at reset, ladders deposits — comes out ahead. The one who does nothing pays for the same hike with interest instead of intention.

CHAPTER 7

Credit cards and high-cost debt: the real emergency

A repo hike does not directly move your credit-card interest rate. That is exactly why it is the debt most likely to wreck a budget in a rising-rate year.

Credit-card interest is set by each card issuer and governed by the card's terms, not reset by the repo rate. So the 7 October hike does not automatically add 25 basis points to your card. But that misses the point. Card interest in India commonly runs from about 30% to over 45% a year — several times a home loan. It is the most expensive money most people ever touch, and it is the first thing to eliminate when money gets tighter.

If you pay your full card bill every month, the repo hike does not change your life. If you carry a balance from month to month, you are already in the most dangerous corner of your finances — and rising EMIs on your other loans make that balance harder to clear.

The minimum-due trap

Paying only the 'minimum amount due' keeps your account current but lets interest compound on the rest at card rates. On a Rs. 50,000 balance at 40% a year, that is roughly Rs. 1,650 of interest in a single month — about Rs. 55 a day. Clearing card debt is the highest-return financial move available to most households, because nothing else you own earns 40%.

What to do, in order

- 1 **Pay in full if you can.** If you cannot, pay as much as possible — every rupee cuts the compounding.
- 2 **Stop new spending on the card** until the balance is gone. Do not add to a hole you are digging out of.
- 3 **Consider a balance transfer or a lower-cost consolidation** only if the effective rate is genuinely lower after fees.
- 4 **Do not convert to an EMI reflexively.** Some card EMIs are fixed-rate and cheaper; others are not. Read the rate before you commit.
- 5 **Protect your credit score.** Clearing balances and paying on time keeps your CIBIL score healthy — which is what gets you the cheapest rates when this cycle ends.

CHAPTER 8

Your deposits: turning the hike into income

For the first time in years, savers have the upper hand. Banks need deposits, and they will pay more for them. Here is how to catch the higher rates instead of missing them.

A repo hike raises the cost of funds for banks, so they compete harder for deposits — which means fixed-deposit rates rise. The catch is timing. Banks do not move deposit rates all at once, and they do not move them by the full 25 basis points. Existing deposits keep the rate they were booked at; only new deposits and renewals earn the higher rate. The winning strategy is not to chase one headline rate, but to keep money maturing so it can be reinvested as rates climb.

Where fixed-deposit rates stood as the hike arrived

These are advertised senior-citizen rates for deposits under Rs. 3 crore, as compiled in early October 2026. General rates are typically 25 to 75 basis points lower. Treat them as a snapshot — rates are moving now.

Bank	Type	1-year	3-year	5-year
Suryoday SFB	Small finance	7.40%	7.40%	8.50%
Jana SFB	Small finance	7.50%	8.30%	7.77%
Ujjivan SFB	Small finance	7.75%	7.75%	7.70%
DCB Bank	Private	7.15%	7.25%	8.00%
Bandhan Bank	Private	7.50%	7.75%	—
IndusInd Bank	Private	7.25%	7.75%	7.15%
HDFC Bank	Private	6.75%	6.95%	6.90%
ICICI Bank	Private	6.75%	6.95%	6.90%
SBI	Public	—	—	7.05%
Bank of Baroda	Public	—	—	6.90%

Notice the spread. The highest rate is not always at the tenure you want, and the biggest bank is rarely the highest payer. Small finance banks pay the most because they need deposits most — which is also why you should mind the safety limit.

The ladder: how to never miss a rate rise again

Instead of putting all your money into one long deposit at today's rate, split it into deposits that mature at different times. As each one matures, you reinvest it at whatever the rate then is — which, in a rising cycle, is usually higher. A simple ladder for Rs. 6 lakh:

Tranche	Amount	Tenure	Why
1	Rs. 1.5 lakh	6 months	Maturing soon, ready to catch a higher rate
2	Rs. 1.5 lakh	1 year	A middle rung, accessible in a year
3	Rs. 1.5 lakh	2 years	Locking a decent rate on part of the money

Tranche	Amount	Tenure	Why
4	Rs. 1.5 lakh	3 years	Your highest locked rate, untouched for now

As each rung matures, roll it into the longest tenure that still fits your needs. Over a tightening year, a ladder means part of your money is always renewing into a higher rate, without ever locking everything up at the wrong moment.

Two things savers must not overlook

- **Deposit insurance is Rs. 5 lakh per depositor per bank**, including interest, under the DICGC. If you park more than that with one small finance bank for a higher rate, split it across banks.
- **TDS bites at Rs. 40,000 of interest a year** (Rs. 50,000 for senior citizens). If your total income is below the taxable limit, file Form 15G (or 15H if you are a senior) so the bank does not deduct tax on your interest.
- **Premature withdrawal costs you.** Breaking a deposit early usually means earning 0.5% to 1% less than the booked rate. Do not lock money you might need.
- **Existing deposits do not change.** Do not break a good, older FD to chase a small rise — the penalty can wipe out the gain. Wait for it to mature.

CHAPTER 9

Small savings vs fixed deposits: where money should sit

Government small savings schemes and bank fixed deposits compete for the same rupees. In a rising-rate year, which one wins depends on a trade-off most savers never make consciously.

India's small savings schemes — PPF, the Senior Citizen Savings Scheme, Sukanya Samriddhi, NSC, Kisan Vikas Patra and the post office deposits — are backed by the government, so they carry no credit risk at all. Their rates are set by the Finance Ministry every quarter. Here is the crucial fact for this cycle: the government has left these rates unchanged for nine straight quarters, and kept them unchanged again for October–December 2026. Unlike bank deposit rates, small savings rates do not rise automatically when the repo rate does.

Scheme	Rate	Tenure / limit	Best for
Senior Citizen Savings Scheme	8.2%	5 years; up to Rs. 30 lakh	Retirees wanting steady income
Sukanya Samriddhi Yojana	8.2%	21 years; up to Rs. 1.5 lakh/yr	A girl child's long-term fund
National Savings Certificate	7.7%	5 years	A safe, short, fixed return
Kisan Vikas Patra	7.5%	Matures in 115 months	Doubling money safely
5-year Post Office Time Deposit	7.5%	5 years	FD-like, government-backed
Post Office Monthly Income	7.4%	5 years; up to Rs. 9 lakh (single)	Monthly income
3-year Post Office Time Deposit	7.1%	3 years	A short, safe parking place

Scheme	Rate	Tenure / limit	Best for
Public Provident Fund	7.1%	15 years; up to Rs. 1.5 lakh/yr	Long-term, tax-free saving

The comparison that matters is not the headline rate alone. It is four things at once: **safety** (government schemes have none of the credit risk a small finance bank carries), **liquidity** (PPF locks money for 15 years; a bank FD can be broken in an emergency, at a small penalty), **tax** (PPF is fully tax-free; FD interest is taxable), and **rate responsiveness** (bank FDs will rise with the cycle; small savings will not, until the government chooses to move them).

The decision rule for a rising-rate year

Use small savings for long-term, tax-efficient, government-backed goals — especially PPF and, for seniors, SCSS. Use bank fixed deposits, laddered across banks and tenures, for money you want to keep liquid and to catch rising rates. The two are not rivals; they do different jobs in the same plan.

CHAPTER 10

Debt mutual funds and bonds in a tightening cycle

Rising interest rates are good for new deposits and bad for the bonds you already hold. If you own debt funds, this chapter is the one to read twice.

When interest rates rise, the price of existing bonds falls — because older bonds paying less become less attractive than new ones paying more. Debt mutual funds hold bonds, so their net asset value can dip in a tightening cycle. The longer the fund's 'duration' (its sensitivity to rate changes), the bigger the swing.

Debt fund type	Rate sensitivity	In a tightening cycle
Liquid / overnight / money market	Very low	Barely affected; a safe parking place
Short-duration / low-duration	Low	Small swings; generally comfortable
Corporate bond / banking & PSU	Moderate	Some mark-to-market pressure
Gilt / long-duration	High	Most exposed; can fall sharply as rates rise
Target-maturity funds	Depends on maturity	Match the fund's maturity to when you need the money

The practical rule for a rising-rate year: keep your near-term and emergency money in short-duration or liquid funds, not long-duration or gilt funds. If you are willing to take duration risk for higher yields, the conventional wisdom is to wait until the RBI clearly signals a pause — then long-duration funds become more attractive, because the next big move would be a cut, not a hike.

If you hold long-duration or gilt funds

Do not panic-sell into a fall. But do not add fresh long-duration money either, until the hike cycle clearly turns. Reassess your holding: if this money is for a goal within the next two years, move it to short-duration funds. If it is a long-horizon tactical bet, size it small and be ready to wait.

CHAPTER 11

Equity and gold: what tightening does to your portfolio

Rate hikes reshape which parts of the market win and lose. You do not need to trade — but you should know where the currents are.

Higher rates raise the cost of borrowing for companies and households, which cools demand over time. Different sectors feel that very differently. This is not a call to buy or sell anything; it is a map of where the pressure lands.

Sector	Effect of higher rates	Why
Banks	Often benefit	Loan rates reset faster than deposit costs, lifting margins
NBFCs and finance	Pressure	They fund themselves at wholesale rates that rise quickly
Real estate	Negative	Home-loan EMIs rise, so affordability falls
Automobiles	Negative	Car loans get costlier; buyers defer purchases
Consumer discretionary	Negative	Costlier credit makes big-ticket spending cautious
IT and pharma exporters	Mixed to positive	A weaker rupee can help exporters

The disciplined response to all of this is boring and effective: if you invest through monthly SIPs, keep going. A falling market buys you more units for the same money. Do not stop a SIP because rates rose — that is the moment SIPs are designed for.

Gold: the quiet beneficiary

Gold has had a remarkable run. It reached record highs in 2026, with domestic prices up sharply through the year and 24-carat gold trading near Rs. 1.5 lakh per 10 grams in early October. Gold often performs when inflation is sticky, currencies are uncertain and geopolitics is tense — all of which are true right now. Gold ETFs saw record inflows, and central banks continued buying.

For a household, the case for gold is not as a trade but as a hedge: a small, steady slice of your portfolio (commonly 5% to 10%) that holds value when other assets wobble. With gold near record prices, the sensible approach is to buy steadily rather than in one lump, and to hold it as insurance rather than expect another 60% year.

The rebalancing idea

If you already hold a lot of gold after this run, its share of your portfolio may now be well above your target. Trimming back to your intended allocation — selling a little of what has grown — is a calm way to lock in gains, not a prediction about the price.

CHAPTER 12

How to calculate your own numbers

You do not need a financial adviser to know what this hike costs you. With one table and one formula, you can work out your own EMI in under a minute.

Every EMI in this playbook comes from a single formula. Once you have it, you can price any loan at any rate. In words: the EMI is the loan amount multiplied by the monthly interest rate and a compounding factor, divided by that same factor minus one.

The EMI formula

$EMI = P \times r \times (1 + r)^n / [(1 + r)^n - 1]$ where P is the loan, r is the annual rate divided by 12 and by 100, and n is the number of monthly instalments. Example: Rs. 10,00,000 at 8.5% for 20 years — $r = 0.007083$, $n = 240$, EMI = about Rs. 8,678.

If you would rather not do the maths, use this table. It shows the EMI for every Rs. 1 lakh borrowed, at common rates and tenures. Multiply by your loan in lakhs to get your EMI.

Interest rate	10 years	15 years	20 years	25 years
8.00%	Rs. 1,213	Rs. 956	Rs. 836	Rs. 772
8.50%	Rs. 1,240	Rs. 985	Rs. 868	Rs. 805
9.00%	Rs. 1,267	Rs. 1,014	Rs. 900	Rs. 839

Read it like this: a Rs. 60 lakh loan at 8.50% over 20 years costs about $60 \times \text{Rs. 868} = \text{Rs. 52,080}$ a month — which matches the Rs. 52,069 we used for Household A. To see the effect of the hike, read the same loan at 9.00%: $60 \times \text{Rs. 900} = \text{Rs. 54,000}$. The gap of roughly Rs. 1,900 a month is what another 50 basis points of tightening would cost them.

Your own worksheet

Write down each loan and fill in the columns. This is the single most useful half-hour you will spend this month.

Loan	Balance	Rate now	Benchmark	Next reset	New EMI (est.)
Home loan			EBLR / MCLR / fixed		
Car loan			EBLR / fixed		
Personal loan			EBLR / fixed		
Education loan			MCLR / EBLR		
Credit card			Not repo-linked	—	Pay in full
Other					

The prepayment rule of thumb

One extra EMI a year, paid straight to principal, can shorten a 20-year home loan by roughly three years. On a floating-rate loan that prepayment is free. If you can afford it, this is the highest-return, lowest-effort move in the whole playbook.

Prepay the loan, or invest the money?

Prepaying a loan at 8.75% is a guaranteed, tax-free 8.75% return — you cannot lose it. Investing may earn more, but with risk. In a rising-rate year, prepaying an expensive loan is usually the better first move, especially for loans above 10%. For a cheap home loan, a middle path works well: prepay some, and invest the rest. Do both, in proportion to your comfort.

CHAPTER 13

Your rights as a borrower — the RBI rulebook

The RBI has given borrowers more power than most people realise. These rights are the tools that let you cut your cost, and lenders cannot take them away.

When rates rise, lenders count on borrowers not knowing their rights. Here are the ones that matter most in this cycle, straight from the RBI's rules.

Your right	What it means	Source
No prepayment charges	On floating-rate loans to individuals, no prepayment or foreclosure fee — any amount, any source, no lock-in. Effective 1 Jan 2026.	RBI Pre-payment Charges on Loans Directions, 2025
A choice at reset	When your floating-rate personal loan resets, you should be offered the choice between a higher EMI, a longer tenure, or both.	RBI fair-practices circular, updated 2025
A quarterly statement	Lenders must give you a statement each quarter showing principal and interest paid, EMIs left, and your annualised rate.	RBI fair-practices circular
Clear disclosure	Your sanction letter, agreement and Key Facts Statement must state whether prepayment charges apply. Charges not disclosed cannot be levied.	RBI KFS circular, 2024
No surprise penal charges	Penal charges must be reasonable, disclosed, and never a revenue tool.	RBI penal charges circular
Rate-reset transparency	External-benchmark loans must reset at least once every three months.	RBI Interest Rate on Advances Directions

Put together, these rights mean you can: prepay a floating-rate loan for free, insist on choosing how a rate rise hits you, demand a clear statement of what you owe, and refuse any charge that was not disclosed up front. Use them.

The script for your next call to the lender

'My loan is floating-rate and linked to the repo. I would like to confirm my next reset date, the new rate and EMI, and I want to choose whether the EMI or the tenure changes. I would also like the quarterly statement showing my principal, interest and remaining EMIs. And please confirm that prepaying this floating-rate loan carries no charge.'

CHAPTER 14

What the rate cycle means at every life stage

The same hike lands differently depending on where you are in life. Find your stage and read your row.

Life stage	What the hike does	What to do now
Students and early career	Education loans get costlier; little savings to earn higher rates	Check the education-loan benchmark and moratorium interest; avoid new consumer loans
Young earners, first job	First home loan EMIs rise; deposit income starts to matter	Start a SIP and an emergency fund; if buying, get the loan sanctioned before rates reset
Mid-career families	The biggest home loans; EMIs plus school fees squeeze budgets	Choose at reset, prepay monthly, refinance if your rate is far above market
Pre-retirement	Still carrying debt; deposits need to be built for income	Clear loans before retirement; start laddering deposits; maximise PPF/SCSS
Retired	Living on deposit income; higher rates are welcome	Ladder FDs, use SCSS at 8.2%, file Form 15H, stay within Rs. 5 lakh insurance cover

The thread that runs through every stage is the same: the borrower who plans for another 50 to 75 basis points of rises, and who uses the free-prepayment rule, is the one who comes through this cycle without a hole in their budget.

CHAPTER 15

Ten mistakes to avoid in a rising-rate year

Most of the cost of a rate hike is not the rate. It is the mistakes borrowers and savers make in the months after it. Here are the ten to sidestep.

- 1 Waiting for rates to fall before acting.** The RBI has said cuts are off the table in the near term. Waiting is not a plan.
- 2 Letting the lender extend your tenure silently.** You should choose between a higher EMI and a longer tenure — ask, and get it in writing.
- 3 Not knowing your benchmark or reset date.** EBLR loans reset at least every three months. Find the date your EMI changes.
- 4 Breaking an old FD to chase a small rise.** Premature withdrawal costs 0.5% to 1% and can wipe out the gain. Wait for maturity.

- 5 **Locking all your deposits into one long FD.** Ladder them so part of your money keeps renewing into higher rates.
- 6 **Keeping emergency money in long-duration debt funds.** Rising rates can push their value down. Use short-duration or liquid funds instead.
- 7 **Taking new loans in a rising cycle.** A loan taken today is priced higher than one taken a year ago. Borrow only if essential.
- 8 **Paying only the minimum on your credit card.** Card interest can run to 30–45% a year. It is the first debt to clear.
- 9 **Stopping your SIPs because the market wobbled.** A cooler market buys more units for the same money. Keep going.
- 10 **Ignoring the Rs. 5 lakh deposit-insurance limit.** Higher FD rates at a small finance bank come with risk — keep each bank's exposure within the DICGC cover.

None of these mistakes is exotic. They are the defaults — the things that happen when no one decides. Decide, and you avoid all ten.

CHAPTER 16

The 30-day action plan

You cannot control the RBI. You can control what you do in the next four weeks — and that is where the savings are.

Work through this in order. Most of it takes a few hours in total; the payoff is measured in thousands, sometimes lakhs, of rupees.

Week 1 — Know your numbers

- List every loan you have, with its balance, rate and benchmark (EBLR, MCLR, base, or fixed).
- For each floating loan, find the next reset date and the expected new EMI.
- Stress-test: add 0.75% to every floating loan and see if your budget still holds.
- List every deposit and its maturity date and rate.

Week 2 — Act on the loans

- Call each lender, confirm the reset, and choose EMI vs tenure — in writing.
- Make one prepayment on your highest-rate floating loan (it is free).
- If your rate is far above the market, ask about refinancing or a balance transfer.
- Stop any new borrowing that is not essential this year.

Week 3 — Fix your deposits

- Build a fixed-deposit ladder so something matures every few months.
- Split large sums across banks to stay within the Rs. 5 lakh DICGC cover.
- If your interest is below the taxable limit, file Form 15G (or 15H if you are a senior).
- Move any money you need within two years out of long-duration debt funds.

Week 4 — Protect the rest

- Clear or reduce any credit-card balance — it is your most expensive debt.
- Check that your emergency fund covers at least six months of expenses.
- Keep your SIPs running; do not stop them because the market is jittery.
- Review your insurance: adequate term cover and health cover come before investing.

The one habit that beats everything

Automate a small prepayment on your home loan every month, on the same day your salary lands. Rs. 5,000 a month against a Rs. 50 lakh, 20-year loan at 8.75% can take years off the loan and save several lakh in interest. It is the highest-return, lowest-effort move in this whole playbook.

Documents to gather before you start

Have these ready before you call anyone. It turns a vague conversation into a five-minute, fact-based one.

- The latest statement for every loan, showing balance, rate and remaining EMIs.
- The sanction letter or loan agreement — it names your benchmark and reset terms.
- The Key Facts Statement, if you have one.
- Statements for every fixed deposit, with maturity dates and rates.
- Your last Form 16 or income-tax return, if you are weighing old versus new tax regime.
- The latest rate card from your bank, so you know today's offers.

CHAPTER 17

The big questions, answered

The questions borrowers and savers are asking this week, answered plainly.

Will my home-loan EMI go up automatically?

Not automatically, but yes in practice if your loan is floating-rate and repo-linked. Your rate resets at least once every three months, and the bank passes the 25 bps rise on at the next reset. Check your reset date to know exactly when.

By how much will my EMI rise?

Roughly by the amount the benchmark rises. On a Rs. 50 lakh, 20-year loan, a 25 bps rise adds about Rs. 775 a month. On Rs. 1 crore it adds about Rs. 1,549 a month. Your exact number depends on your rate, balance and remaining tenure.

Can the bank extend my tenure instead of raising my EMI?

Yes, and many do. But under RBI fair-practices rules you should be offered the choice between a higher EMI, a longer tenure, or both. If you are not told, ask. Extending the tenure costs more in total interest.

Do I have to pay a charge to prepay my home loan?

No. Since 1 January 2026, floating-rate loans to individuals carry no prepayment or foreclosure charge — any amount, any source, no lock-in. If your lender tries to charge, point to the RBI's Pre-payment Charges on Loans Directions, 2025.

Should I switch to a fixed rate now?

Usually no. In a tightening cycle, fixed rates are priced high. Compare the fixed offer against your stress-tested floating cost; a fixed rate 1% higher can cost more than the remaining hikes would.

Are fixed-deposit rates going up?

Yes, over the coming weeks and months. Banks do not move all at once or by the full 25 bps. Existing deposits keep their booked rate; new deposits and renewals earn more. Ladder your money to catch the higher rates.

Should I break an old FD to reinvest at a higher rate?

Almost never. Premature withdrawal typically costs 0.5% to 1% and can wipe out the gain. Wait for it to mature and reinvest then.

Do credit-card rates go up with the repo rate?

No — card rates are set by the issuer, not the repo. But card debt is already the most expensive money you can borrow, so it is the first thing to clear when budgets tighten.

Is my money in a small finance bank safe?

Deposits are insured up to Rs. 5 lakh per depositor per bank (including interest) by the DICGC. Higher rates come with higher risk, so keep exposure to any one bank within that cover.

Will rates come back down soon?

The RBI has said rate cuts are off the table in the near term — the next move can only be a hike or a pause. Plan for another 50 to 75 bps of rises over the next year and treat any pause as a bonus.

I am a senior citizen. What should I do?

You have the most to gain from higher deposit rates. Compare senior-citizen rates across banks, ladder your deposits, file Form 15H if your income is below the taxable limit, and keep each bank's exposure within the Rs. 5 lakh insurance cover.

Does a rate hike hurt my SIPs?

No — keep them going. Rate hikes can cool the market, and a cooler market buys you more units for the same monthly amount. SIPs are built for exactly this.

My loan is on MCLR, not the repo. Am I affected?

Yes, but more slowly and usually by less than 25 basis points. MCLR resets at a periodicity of a year or less, so your rate changes at your reset date, not immediately.

I have a fixed-rate home loan. Should I switch to floating now?

No. Your fixed rate protects you while floating rates rise. Switching to floating in a tightening cycle would expose you to the very hikes you are currently shielded from.

Does this affect a gold loan or a loan against property?

Often yes. Many such loans are floating and benchmarked to the external rate. Check your loan agreement for the benchmark and reset terms.

Should I move my emergency fund from a savings account into a fixed deposit?

Keep enough fully liquid for a genuine emergency — a savings account or a liquid fund. Ladder the rest into fixed deposits you can break if needed. Never lock money you might need at short notice.

What if I genuinely cannot afford the higher EMI?

Tell your lender early. You may be able to extend the tenure to keep the EMI manageable, or to restructure. Lenders respond far better to a borrower who calls before missing a payment than after.

Appendix A

Talking to your lender: scripts and a letter

Most borrowers never contact their lender about a rate change, and so they get the default treatment. A five-minute call and one email change that. Here is exactly what to say.

The call script

Say this, in this order

1. 'My loan account number is [X], and it is a floating-rate loan linked to the repo rate.' 2. 'Please confirm my next interest-reset date and the revised rate and EMI.' 3. 'I want to choose whether the EMI rises, the tenure extends, or both — please record my choice.' 4. 'Please send me the quarterly statement showing my principal, interest and remaining EMIs.' 5. 'Please confirm that prepaying this floating-rate loan carries no charge.'

The email, ready to copy

A template you can paste and send

Subject: Rate reset and prepayment confirmation — Loan A/c [number]

Dear Sir/Madam,

My loan account [number] is a floating-rate loan linked to the repo rate. Following the RBI's 25-basis-point hike on 7 October 2026, please confirm: (1) my next reset date and the revised rate and EMI; (2) that I may choose between an EMI increase, a tenure extension, or both, and record my choice; (3) the quarterly statement of principal, interest and remaining EMIs; and (4) that prepayment of this floating-rate loan carries no charge. Kindly reply in writing.

Regards,

[Your name] · [Loan account] · [Mobile]

If the lender does not respond

Banks are required to resolve customer complaints within 30 days. If yours does not, you can escalate to the RBI's Integrated Ombudsman Scheme — a free, online grievance system for banking customers. You file on the RBI's complaint portal, and the Ombudsman can direct the lender to fix the issue. Most borrowers never use it; that is exactly why lenders count on silence.

Appendix B

Why this hike happened: the inflation story

The RBI does not raise rates for fun. It raises them because inflation is rising faster than it wants. Understanding why helps you predict what comes next.

- **Consumer price inflation rose to 4.82% in August 2026**, from 4.45% in July — a clear upward turn.
- **The drivers were food and fuel.** The re-escalation of the West Asia conflict in September lifted crude oil prices, and food prices firmed.
- **Core inflation** — which strips out volatile food and fuel — edged up to about 4.2%, a sign that price pressure is broadening.
- **The RBI raised its FY27 inflation forecast to 5.2%**, and expects it to peak around 6.0% in the December quarter before easing. SBI Research expects a peak nearer 6.8% in November 2026.
- **Growth remains strong** — the RBI lifted its FY27 GDP forecast to 7.1% — so it can tighten without fearing a sharp slowdown.

Put together, this is why the RBI said rate cuts are off the table: with inflation turning up and growth holding firm, the risk of doing nothing is higher prices, not a stalled economy. For you, that means the sensible assumption is more tightening, not a quick return to the cheap money of 2025.

Appendix C

Tax and your loans in a rising-rate year

A rate hike is a money event, and money events have tax consequences. Two are worth knowing. This is general information, not tax advice — confirm your position with a chartered accountant.

- **Home-loan interest relief exists mainly under the old regime.** For a self-occupied home, the old regime allows a deduction of up to Rs. 2,00,000 a year on home-loan interest under Section 24(b), plus principal repayment within the Section 80C limit. The new regime, which is the default, does not allow these for a self-occupied home.
- **So your tax regime changes what a rate hike costs you.** If you rely on the home-loan interest deduction, the old regime can offset part of the higher interest. Run both regimes for your own numbers.
- **Filing on time protects your options.** From AY 2026-27, filing after the due date can cost you the ability to opt for the old regime — which would remove the very deductions that soften a rate hike. File early.
- **Deposit interest is taxable.** Interest above Rs. 40,000 a year (Rs. 50,000 for seniors) attracts TDS; file Form 15G or 15H if your income is below the taxable limit.
- **Note the transition.** The Income-tax Act, 2025 took effect on 1 April 2026, but returns for income earned in FY 2025-26 (AY 2026-27) are still filed under the older framework. This is a moving area — a CA can confirm what applies to you.

Appendix D

The one-page cheat sheet

Every number you need from this playbook, in one place. Pin it, or save it to your phone.

Item	Value
Repo rate (from 7 Oct 2026)	5.50% (up 25 bps)
SDF / MSF / Bank Rate	5.25% / 5.75% / 5.75%
RBI stance	Calibrated tightening; cuts off the table
EMI rise, Rs. 50 lakh 20-yr home loan, +25 bps	About Rs. 775 per month
Extra interest over 20 years, same loan	About Rs. 1.9 lakh
Prepayment charge, floating-rate individual loans	Zero, since 1 January 2026
External-benchmark reset frequency	At least once every three months
Deposit insurance (DICGC)	Rs. 5 lakh per depositor per bank
TDS on deposit interest	Above Rs. 40,000 (Rs. 50,000 seniors)
Senior Citizen Savings Scheme rate	8.2% (up to Rs. 30 lakh)
PPF rate	7.1% (up to Rs. 1.5 lakh a year)
Expected further tightening	50–75 bps over the next year

Appendix E

Your 12-month rate-cycle calendar

The RBI reviews monetary policy roughly every two months. This is your action calendar for the year ahead, tied to what is likely to happen at each review.

When	What to expect	What to do
Now — October 2026	Banks begin resetting loan rates and raising deposit rates	Confirm your reset date; start a prepayment; begin your FD ladder
November 2026	Inflation likely peaks; festive spending pressure	Keep new borrowing light; clear card balances
December 2026 review	Next MPC meeting; another 25–50 bps hike possible	Re-run your stress test; reassess your EMI vs tenure choice
January 2027	New-deposit rates likely higher; loan resets filter through	Reinvest maturing FDs at the new, higher rates
February 2027 review	Possible further hike; deposit competition continues	Compare refinance offers if your loan rate is high
March–April 2027	Peak of the cycle likely in sight; 10-year yields may ease	Consider shifting longer-term money; hold off on long-duration debt until a pause is signalled

When	What to expect	What to do
Mid-2027	If inflation eases, the cycle may pause	Stay disciplined; do not chase cuts that have not arrived

This calendar is a planning guide based on the RBI's own stance and published house forecasts, not a schedule of guaranteed events. Use it to stay ahead of each review — not to predict it.

Appendix F

Six myths about the rate hike, corrected

Bad information costs as much as a rate rise. Here are the six claims borrowers repeat most often, and what is actually true.

The myth	The fact
A rate hike only affects new borrowers	Existing floating-rate borrowers are hit at their next reset date
My EMI rises the day the RBI announces	It changes at your reset date — at least once every three months
Higher rates are bad for everyone	Savers win: new fixed deposits and renewals earn more
I should break my old FD to catch the higher rate	The premature-withdrawal penalty usually wipes out the gain; wait for maturity
Credit-card rates rise with the repo rate	Card rates are set by the issuer, not the repo — but they are already the costliest debt
Rates will fall again soon, so I'll wait	The RBI has said rate cuts are off the table in the near term

If you remember one correction from this appendix, make it the last one. Waiting for cuts is the single most expensive belief a borrower can hold this year.

Glossary

Repo rate	The rate at which the RBI lends short-term money to banks. The main policy rate; currently 5.50%.
Reverse repo / SDF	Where banks park surplus money with the RBI. The Standing Deposit Facility rate is 5.25%.
MSF and Bank Rate	The Marginal Standing Facility rate and Bank Rate are both 5.75% — the ceiling of the rate corridor.
Monetary Policy Committee (MPC)	The six-member RBI committee that sets the repo rate. It met on 5–7 October 2026.
Calibrated tightening	The RBI's current stance — measured, data-driven increases rather than abrupt moves.
Basis point (bps)	One-hundredth of a percentage point. 25 bps = 0.25%.
EBLR / RLLR	External Benchmark Lending Rate / Repo-Linked Lending Rate. The benchmark most retail loans are priced against; resets at least every three months.
MCLR	Marginal Cost of Funds-based Lending Rate. An older benchmark; resets at a periodicity of a year or less.

EMI	Equated Monthly Instalment — the fixed monthly payment on a loan.
Reset date	The date on which your floating rate changes to reflect the new benchmark.
Prepayment	Repaying a loan, in part or in full, before it is due. Free of charge on floating-rate individual loans since 1 January 2026.
Duration	A bond fund's sensitivity to interest-rate changes. Longer duration means bigger price swings.
DICGC	Deposit Insurance and Credit Guarantee Corporation. Insures deposits up to Rs. 5 lakh per depositor per bank.
TDS	Tax Deducted at Source. Banks deduct it on FD interest above Rs. 40,000 (Rs. 50,000 for seniors).
Form 15G / 15H	Forms to declare that your income is below the taxable limit so no TDS is deducted on your interest.
Key Facts Statement (KFS)	A one-page summary of a loan's key terms that lenders must give you.

Sources and how this was verified

Every rate, rule and date in this playbook was taken from a primary or official source, or from a named lender's published rate card. Forecasts are attributed to the institution that published them and are clearly labelled as forecasts, not facts. Where a figure is a bank's advertised rate, it is presented as a snapshot that can change. The core sources:

- Reserve Bank of India — Governor's Statement and Monetary Policy Statement, 7 October 2026; notifications on LAF, SDF and MSF rates.
- Reserve Bank of India — Pre-payment Charges on Loans Directions, 2025 (effective 1 January 2026); fair-practices circular on reset of EMI-based floating-rate personal loans; Interest Rate on Advances Directions; Key Facts Statement circular, 2024.
- PFRDA and the Department of Financial Services — Unified Pension Scheme documentation (for context on long-term retirement products).
- Income Tax Department — TDS thresholds on deposit interest; Form 15G/15H guidance.
- Bank rate cards and published MCLR/EBLR tables — SBI, HDFC Bank, ICICI Bank, Bank of Baroda, PNB, Bank of India, Indian Bank, Indian Overseas Bank, UCO Bank, DCB, Bandhan and small finance banks.
- PaisaBazaar / BankBazaar compiled rate tables, as reported by major financial media in early October 2026.
- Published house forecasts after 7 October 2026 — Goldman Sachs, Morgan Stanley, Bank of America, Standard Chartered, Motilal Oswal, SBI Research, ICRA, HDFC Bank economics.
- Market data on gold and gold ETF flows, and the World Gold Council's India market commentary, 2026.

A note on numbers that move

Interest rates, deposit rates and forecasts change constantly. This edition reflects the position as of 9 October 2026. Before you act on any specific rate, confirm it with your own bank — the playbook gives you the framework; your lender gives you the final number.

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